AMFI

Association of Mutual Funds in India

135/ BP/106A/ 2025-26 **October 17,2025**

To,

All AMFI Members

Dear Members,

AMFI Best Practices Guidelines Circular No. 106A / 2025-26

Modification in the Guidelines on Transfer of AUM from one MF Distributor to another

(In partial modification of AMFI Best Practice Circular no. 135/ BP/ 106 / 2022-23 dated March 21, 2023)

1) At present, if a mutual fund distributor (MFD) transfers the AUM under his/ her ARN to the ARN of another MFD and becomes a sub-distributor of the transferee MFD, the transferor MFD (who is now a sub-distributor of the transferee MFD) is not permitted to conduct any business independently under his/her own ARN (the rationale being that the transferor MFD has taken a conscious decision to work as a sub-distributor). Moreover, the AMCs need to conduct periodic checks in this regard. Further, if the sub-distributor wishes to resume doing mutual fund business under his/ her own ARN, he/ she may do so, provided the entire AUM of the sub-distributor is transferred out, and both the sub-distributor and principal MFD need to certify to the AMC that the entire AUM of the sub-distributor is being transferred.

AMFI has been receiving requests from MFDs to review and relax the above provision and allow the MFDs to operate – independently under their ARN as well as a sub-distributor of another MFD, without requiring to re-transfer the AUM back to the ARN of the sub-distributor.

The matter was reviewed by the AMFI Standing Committee on Certified Distributors (ARN Committee) which found merit in relaxing the above stipulation.

Accordingly, based on the recommendations of the ARN Committee, which was duly approved by the Board of AMFI, it has been decided to waive the abovementioned stipulation in the existing guidelines.

Accordingly, the sentence, "*However, after transferring the assets, the Transferor Distributor shall not do any business independently under his/her ARN. The AMC shall conduct periodic checks in this regard and report to AMFI if any distributor is found to be non-compliant / doing business as a sub-distributor as well as the main ARN holder*" under point no. 2 B ii of Annexure A to the AMFI Best Practice Circular no. 135/BP/ 106 /2022-23 dated 21-Mar-2023 stands deleted.

2) Further, as regards point no. 1 of Annexure A on "Distributor (ARN Code) change initiated by the Investor", AMFI has issued Best Practice circular no. 135/ BP/ 112-a/ 2025-26 dated 30-Jul-25, in partial modification of AMFI Best Practice circular no. 135/ BP/ 112/ 2024-25 dated 05-Mar-2024, in terms of which the AMCs may consider making payment of trail commission to the new distributor after a cooling off period of twelve months from the change of distributor code in the Unitholder database, subject to compliance with various terms and conditions stipulated therein. Accordingly, the sentence, "Upon change of distributor (ARN Code) and on transfer of AUM from one distributor (ARN Code) to another distributor (ARN Code) on such requests, the trail commission in respect of transferred assets should not be paid to the new distributor (ARN holder), except for the cases as mentioned at point no.3 hereinbelow." under point no. 1 of Annexure A to the AMFI Best Practice Circular no. 135/BP/ 106 /2022-23 dated 21-Mar-2023 stands deleted.

All other provisions in the AMFI Best Practice Circular no. 135/BP/ 106 /2022-23 dated 21-Mar-2023 remain unchanged.

Members are requested to take note of the above and inform all concerned suitably in the matter.

With Best regards,

S L Pandian

Dy Chief Executive